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What's News

Business & Finance

- ◆ **An improving trade** relationship with the U.K. and hopes for talks with China sparked a stock rally that lifted both the S&P 500 and Dow industrials by 0.6% and the Nasdaq by 1.1%. **B1**
- ◆ **Paramount Global** saw gains in its streaming business, but its overall revenue declined compared with the same period last year when it televised the Super Bowl. **B1**
- ◆ **Warner Bros. Discovery** recorded a smaller loss in the first quarter but lower sales as weakness in the linear TV business offset gains in streaming. **B5**
- ◆ **The Bank of England** cut its key interest rate a day after the Federal Reserve opted to keep U.S. rates on hold. **A7**
- ◆ **Toyota reported** weaker quarterly earnings and projected a drop in profit for its new fiscal year, expecting tariffs and higher materials costs to dent its bottom line. **B1**
- ◆ **Coinbase agreed** to acquire Deribit, the world's biggest trading platform for bitcoin and ether options, for roughly \$2.9 billion. **B9**
- ◆ **Brewer AB InBev's** first-quarter net profit soared above market expectations as lower costs helped offset a decline in sales volumes. **B2**
- ◆ **Nintendo is betting** that solid demand for the video-game maker's long-awaited Switch 2 console will boost earnings this year. **B4**
- ◆ **SMIC, China's largest** chip maker, reported a sharp increase in quarterly net profit, driven by Beijing's stimulus measures and front-loading activities spurred by geopolitical tensions. **B4**

World-Wide

- ◆ **The Roman Catholic** Church elected the first pope from the U.S. in its history, placing its 1.4 billion faithful in the hands of a missionary-turned-Vatican prelate who has been critical of the Trump administration's crackdown on immigration. **A1**
- ◆ **Trump said his** administration and the U.K. agreed to the outlines of a trade deal, the first of what the White House hopes will be a series of country-by-country agreements. **A1, A7**
- ◆ **The president is** considering backing a tax structure that would return the top individual income-tax rate to 39.6% from 37% for people making over \$2.5 million. **A4**
- ◆ **Bill Gates plans** to spend more than \$200 billion over the next 20 years to fight global scourges, accelerating a commitment to give away nearly all of his wealth. **A2**
- ◆ **Trump said he would** name Fox News host Jeanine Pirro to be Washington's top prosecutor on an interim basis after dropping his first choice, Ed Martin, who failed to gather enough Republican support. **A4**
- ◆ **Homeland Security** Secretary Noem ousted FEMA's acting director after he told lawmakers he didn't support the elimination of his agency. **A4**

- ◆ **A former model** alleged that Harvey Weinstein raped her into a hotel room and lured her, offering crucial testimony for New York prosecutors trying to reconvict him of sex crimes. **A3**
- ◆ **India said it intercepted** missiles and drones launched by Pakistan that targeted military installations on its territory. **A8**

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First Pope From U.S. Elected

Chicago-born Cardinal Robert Francis Prevost, who served in Peru and the Vatican, becomes Pope Leo XIV



Pope Leo XIV greeted the masses from the balcony of St. Peter's Basilica at the Vatican Thursday.

VATICAN CITY—The Roman Catholic Church elected the first pope from the U.S. in its history, placing its 1.4 billion faithful in the hands of a missionary-turned-Vatican prelate who has been critical of the Trump administration's crack-down on immigration.

By Stacy Meichtry, Margherita Stancati, Owen Tucker-Smith and Ian Lovett

Cardinal Robert Francis Prevost, a 69-year-old native of Chicago, emerged on the balcony of St. Peter's Basilica and was introduced to the world as Pope Leo XIV. A throng of more than 100,000 pilgrims, tourists and ordinary Romans filling the square be-

low reacted with surprise at the election of a pope from the U.S.—an event that had long been considered unthinkable.

Delivering his first Urbi et Orbi address to “the city and the world,” Leo positioned himself as a unifying figure for a world beset by conflicts and for the Catholic Church, riven by years of ideological tensions between its progressive and conservative wings.

Paying homage to the inclusive spirit of his predecessor, the late Pope Francis, Leo stressed the importance of “synodality,” or gatherings of bishops and dialogue with laypeople to debate major moral and practical challenges facing the church. That approach, promoted under Francis, Please turn to page A9

A Fractured Church Seeks Steady Leader

When Catholic cardinals broke with convention and elected the first American pope in the church's nearly 2,000-year history, they set-

By Joshua Chaffin, Ryan Dubé, Aaron Zitner and Joe Barrett

tled on a Chicagoan who has spent much of his adult life abroad.

Robert Prevost, the cardinal who emerged on the Vatican balcony on Thursday as Pope Leo XIV, lived and worked for two decades in Peru as a missionary and parish priest—so

long that he eventually obtained dual citizenship. More recently, Prevost, 69 years old, has served in the Vatican as a close aide to the late Pope Francis.

In selecting Prevost, the conclave appears to be betting that his mixed identity—a pope both of America and the world—will serve him well as leader of a global church trying to navigate a time of turmoil and transition.

Its center of gravity is increasingly spread across a distant periphery, including Latin America, where Prevost enjoys Please turn to page A9

Toys, Tools Blocked By Tariff Chaos

Importers cancel orders, while Chinese factories cut staff and offload goods

Six thousand inflatable snowmen and holiday figurines are sitting in Alan Chau's Guangdong factory with nowhere to go.

By Rebecca Feng, Hannah Miao and Natasha Khan

His customer, an American toy maker, planned to sell the holiday-themed products to QVC for the TV-shopping network's “Christmas in July” programming. The TV-shopping network froze the shipment after President Trump raised tariffs on Chinese goods to 145%.

Now, Chau faces a cash

crunch as new orders dry up and money to pay his workers runs low. The Hong Konger who has worked in China's toy manufacturing industry for two decades said he's only sleeping a few hours a night and stays glued to the news when awake, watching for U.S. tariff changes. If a deal between the U.S. and China isn't reached soon, he said, he might have to declare bankruptcy, affecting his Chinese workers and suppliers and his Please turn to page A6

- ◆ **Toyota sees \$1.25 billion** tariff hit..... **B1**
- ◆ **Growth for steelmaker** Cleveland-Cliffs stalls..... **B1**

Their Fridge Obsession Is a Recipe for Discontent

Rattan baskets, framed photos and lights.

How do you ever find the milk?

By JENNIFER WILLIAMS

When Susan Wolf's partner went away for a week last November, she knew exactly what to do with the alone time.

It started with emptying the contents of their refrigerator, followed by a deep clean. Then came the staging.

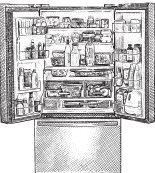
Mustard, soy sauce and other condiments were artfully repackaged in stylish containers. Baby carrots were submerged in water, arranged in a decorative container and given pride of place on the top shelf. Small pumpkins were scattered here and there.

Several hours and several well-placed vegetables and vases later, Wolf had completed her first fridgescape.

The 49-year-old healthcare worker was hooked—even as she carefully navigated her design to actually eat. She looked at the display under the glow of the refrigerator light, wondering when she might again have the chance to beautify her chilled foods and beverages.

Reality intruded when her partner André Johnson's trip ended. “It lasted about 10 minutes from his getting home,” Wolf said of her fridgescape.

Fridgescaping took the internet by storm last year. Now, more households are sprucing up the humble insides of their refrigerators, feeding the desire to make every nook and cranny of their homes whimsical and, for some, the need to Please turn to page A2



Cold comfort

Trump Unveils Framework For a Trade Deal With U.K.

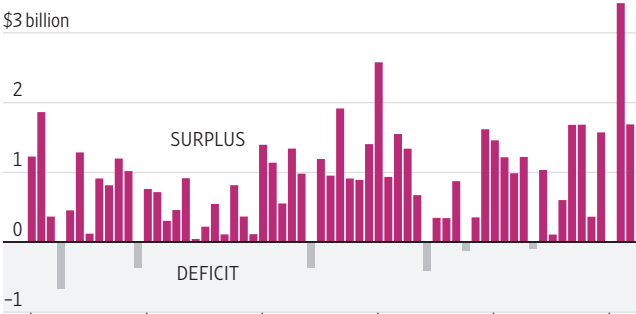
By NATALIE ANDREWS AND MAX COLCHESTER

WASHINGTON—President Trump said Thursday his administration and the U.K. agreed to the outlines of a deal on trade, the first in what the White House hopes will be a series of agreements in the wake of U.S. tariffs imposed on allies and adversaries alike.

“It's very conclusive, and we think everyone's going to be happy,” Trump said. “Many countries want to make a deal, and many countries are very unhappy that we happened to choose this one.”

The pact, which appeared to have been put together hastily by U.S. and U.K. officials, is fairly limited in scope. The Trump administration agreed to roll back tariffs imposed on British steel and au-

U.S. trade balance in goods with the U.K., monthly



Source: Commerce Department

tomobiles in exchange for purchasing Boeing jets and giving U.S. farmers greater access to U.K. markets.

Under the deal, most U.K. goods will still be subject to the global 10% tariff the U.S. imposed on all countries in April. But U.K. steel and alu-

minum will be exempt from the U.S.'s 25% levy and U.K. car tariffs will be lowered to Please turn to page A6

- ◆ **Greg Ip: Deal shows 10%** U.S. tariff baseline..... **A7**
- ◆ **Heard on the Street: Central bankers' dilemma**..... **B10**

INSIDE



JASON GAY
Brick-shooting Celtics can't buy a basket, giving underdog Knicks a playoff lead. **A12**



BUSINESS & FINANCE
Storyed New York law firm struck a deal with Trump—now it is losing lawyers. **B1**

CEO of 1-800-Flowers Decides to 'Fire Myself'

By SARAH NASSAUER

Over nearly half a century, Jim McCann turned a Manhattan flower shop into 1-800-Flowers.com, one of the country's largest floral-and-gift delivery companies.

But with business slowing, the 73-year-old has decided the one thing it needs is a little less Jim McCann.

“In this case, the best thing I can do is fire myself and hire someone who's much more skilled than I am in the areas that are important to the company going forward,” McCann said in an interview.

He plans to step away from the chief executive role at the company, which has \$2 billion a year in sales.

The company's sales and profit skyrocketed during the early pandemic years, when people hunkered down at home and spent freely on sending gifts and flowers to friends and family. But in re-

cent quarters, sales have sunk, both because of reduced demand and self-inflicted problems with some back-end product-ordering technology, McCann said.

The company's new CEO will be Adolfo Villagomez, a former Home Depot e-commerce executive and McKinsey consultant who since 2022 has been CEO of Progress Residential, the single-family rental arm of private-equity shop Pretium Partners. Villagomez will be adept at navigating new technologies such as artificial intelligence, and will bring more rigor and accountability to the company, McCann said.

“Those have not been my strong suits,” McCann said.

McCann worked in social services for group homes in New York City for more than a decade before opening a flower shop on the Upper East Side of Manhattan in 1976 in hopes Please turn to page A5